

Ad-hoc Journal - Accrual Standard Operating Procedure (SOP)

○ **Introduction:**

An accrual is necessary to allocate costs to the correct GL line monthly. Logic described in this document governs how journal entry data is identified, validated, and transformed based on predefined business rules.

○ **Purpose:**

To avoid misstating the Underlying Operating Profit, amounts should be accrued and allocated appropriately.

○ **Detailed instructions to process**

- Only company code 1000 is allowed for Accrual Journals.
 - Any journal entry referencing a company code other than 1000 must be treated as invalid for processing.
- All Accrual Journals must use document type SA.
 - Any journal entry with a document type other than SA must be treated as invalid for processing.
- Monthly Amount Calculate the monthly journal amount by dividing the total annual posting amount by 12.
 - The annual posting amount is used as the source value for calculation.
 - Do not manually alter the original posting amount before applying the calculation.
- Input & Submission
 - Journal entry data is processed only when it matches the current document context.
 - Each record Accrual data is derived from journal entries originating from the Journal process as document_name: Accrual_Details, as established in the upstream sourcing and source_type = 'Email'.
 - Only records satisfying these conditions are considered for further processing steps.
- Validate that the following conditions are met before processing:
 - Company Code must be 1000.
 - Document Type must be SA.
 - GL Account must not start with 1000 or 3000.
 - Expense lines with GL account in the 6100 series must have a Cost Center.

- Total debits must equal total credits at batch level.
- GL account series 1000 (Asset accounts) must not appear in Accrual Journals.
 - GL account series 3000 (Equity accounts) must not appear in Accrual Journals.
 - Cost Center All expense GL accounts (6100 series) must have a valid Cost Center assigned.
 - If a Cost Center is missing on any 6100 series line, the record is considered Invalid.
- For the complete set of journal entries, the sum of all Debit amounts must exactly equal the sum of all Credit amounts.
- Any imbalance, regardless of amount, indicates invalid data and prevents further processing.
- Each record must explicitly specify the source_type = 'Email', ensuring that all entries are uniformly categorized and clearly identified as originating from email sources.
- Each record must remain uniquely identifiable throughout processing to ensure consistency and traceability.